

EXECUTIVE MEMO — COLLECTIONS PERFORMANCE REVIEW

To: Leadership Team **Subject:** Recovery Performance, Data Quality & ₹10 Cr Investment Recommendation

Executive Summary

The reported 11% month-on-month recovery improvement is mathematically correct in absolute terms, but it does not indicate improved recovery efficiency. Recovered amount increased 11.03% from February to March 2026, while the eligible population increased 42.41%. Consequently, recovery per eligible account declined 22.03%. The evidence therefore suggests that the headline improvement was primarily volume-driven rather than efficiency-driven.

What Happened?

- Recovered amount increased from ₹170.14M to ₹188.91M (+11.03%).
- Recovered accounts increased 11.32%.
- Average recovery per recovered account decreased 0.26%.
- Recovery per eligible account decreased 22.03%.

The 11% headline is valid as an absolute-recovery metric, but misleading if interpreted as an improvement in underlying collection efficiency.

Why Did It Happen?

The analysis does not show a material recovery-rate uplift from newer targeting strategies. Legacy achieved a 44.74% account recovery rate; v1 was effectively unchanged, v2 was 0.10 percentage points lower, and v3 was 0.44 percentage points lower.

- Only 6.90% of PTP-payment matches qualified as valid under the defined attribution rules.
- 500 duplicate payment rows were identified; duplicate SUCCESS amount was ₹0, so they did not appear to inflate successful recovery.
- All 1,000 agents were mapped to multiple vendors, affecting confidence in agent/vendor comparisons.
- 88,241 calls were handled by multi-vendor agents.

These issues reduce confidence in attributing recovery improvements to individual strategies, vendors, agents or channels.

Where Should We Invest ₹10 Cr?

Recommendation: Call-channel optimization.

Calls currently have a 19.87% answer rate and 47.65% account contact rate, indicating a clear contactability opportunity. A conservative scenario of improving answer rate to 25% represents a 25.84% relative lift in answered calls.

The ₹10 Cr should be deployed through a controlled pilot, focusing on improving contactability rather than simply increasing call volume. The available data does not support a reliable point estimate of incremental recovery from the ₹10 Cr investment; the investment should therefore be scaled only after the pilot establishes causal incremental recovery.

Financial Guardrails

- 10% ROI requires ₹1 Cr incremental recovery.
- 25% ROI requires ₹2.5 Cr incremental recovery.
- 50% ROI requires ₹5 Cr incremental recovery.
- 100% ROI requires ₹10 Cr incremental recovery.

These are break-even/ROI thresholds, not forecasts.

Recommendation & Next Steps

- Run a controlled call-channel pilot targeting a 25% answer-rate scenario.
- Measure incremental recovery against a control group.
- Track contact rate, qualifying PTPs, recovered accounts, recovered amount and cost per ₹ recovered.
- Fix agent/vendor identity mapping before using vendor-level performance for investment decisions.
- Strengthen PTP-to-payment attribution before making claims about PTP effectiveness.
- Scale the investment only if incremental recovery and ROI meet predefined thresholds.

Confidence: Moderate. The identified data-quality problems and lack of causal experimental evidence mean that the current analysis supports the direction of investment, but not a guaranteed incremental-recovery forecast.